take undue advantage of the market volatility. Towards this end, we restricted the flexibility available to both exporters and importers to maintain open foreign exchange positions and reduced the limits available to banks to trade on the rupee.

We have two separate markets for taking a position on the future of the rupee—the over the counter (OTC) ‘forwards’ market which is restricted only to those having an underlying foreign exchange exposure—for example, importers and exporters—and the exchange-traded ‘futures’ market which is open to all. In normal times, the two markets would be roughly synchronized, and together they help efficient price discovery; in crisis times though, there is oftentimes a disconnect between the two markets which opens up opportunities for speculators to exploit the arbitrage and reinforce the one-way pressure on the exchange rate. To limit such opportunities, we proscribed proprietary trading by banks in the currency futures market; in other words, banks could transact in this market only on behalf of their clients.

Restraints on Gold Imports

As I wrote earlier, gold was a big source of import pressure. The Indian appetite for gold is part of folklore, but why indeed did the demand for gold spurt so suddenly? Clearly, some idiosyncratic factors were at play. Our gold demand comprises three segments. The largest segment is the ‘folklore’ demand, especially from middle- and low-income households, who find investing in gold to be an attractive option as it provides a hedge against inflation while also providing liquidity, as gold can be sold or offered as collateral for emergency borrowing. The second demand segment comprises jewellers who import raw gold and convert it into jewellery for re-export. Finally, there is speculative demand from people taking positions on the global price of gold, which itself is a consequence of the global macro outlook. Between 2009 and 2012, the folklore demand for gold had shot up, as our inflation remained elevated and the real returns on bank deposits turned negative. The speculative demand spiked too as average